

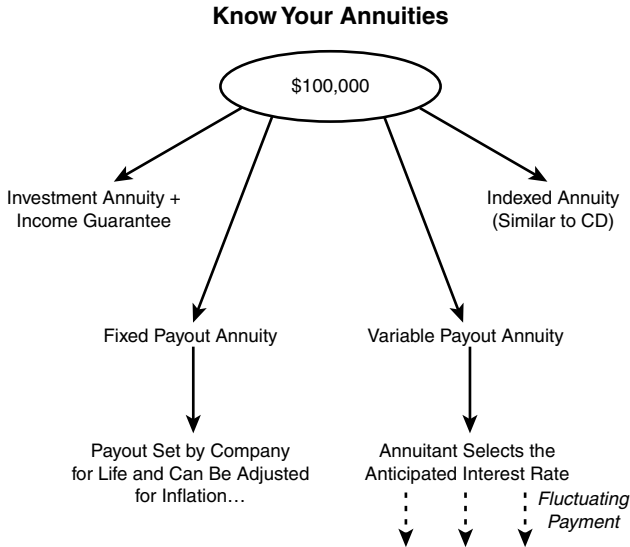


Figure 9.4 All use the word annuity, but are very different.

Source: Moshe Milevsky and the IFID Centre, 2008.

Summary

- Annuities have been around for thousands of years and are the foundation of defined benefit (DB) pension plans as well as the U.S. Social Security system. There is nothing inherently wrong or problematic with annuities. They are risk management instruments, and you ignore them at your own risk.
- Think of a variable annuity as a mutual fund with a selection of different investment options, together with a number of implicit and explicit guarantees.
- Some of these guarantees are quite valuable and some are not as valuable. For the most part and, in general, the new generation of guaranteed living income benefits (abbreviated GLiBs) are very different compared to the old-style death-benefit guarantees. These GLiBs will provide fair value to the consumer and, therefore, make more sense to me as appropriate for funding one's retirement.